Absorbing Transition DID Results: AKM Violation Good — Upgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		-0.059***		-0.020		-0.065***
		(0.019)		(0.016)		(0.015)
× Voluntary Rotation		-0.044***		-0.011***		-0.045***
		(0.005)		(0.004)		(0.004)
Pooled	-0.048***		-0.013***		-0.049***	
	(0.005)		(0.004)		(0.004)	
Mandatory − Voluntary		-0.015		-0.009		-0.020
Difference p-value		0.451		0.579		0.184
Observations	46,788	40,715	46,788	40,715	46,788	40,715
Firms	5,284	5,014	5,284	5,014	5,284	5,014
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		-0.040		-0.009		-0.071**
		(0.038)		(0.034)		(0.030)
× Voluntary Rotation		-0.039***		-0.008		-0.041***
		(0.009)		(0.007)		(0.007)
Pooled	-0.041***		-0.010		-0.044***	
	(0.009)		(0.007)		(0.007)	
Mandatory − Voluntary		-0.002		-0.002		-0.031
Difference p-value		0.966		0.962		0.305
Observations	30,833	28,487	30,833	28,487	30,833	28,487
Firms	3,296	3,261	3,296	3,261	3,296	3,261
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		-0.055***		-0.011		-0.064***
		(0.016)		(0.014)		(0.014)
× Voluntary Rotation		-0.042***		-0.009***		-0.043***
		(0.005)		(0.003)		(0.004)
Pooled	-0.044***		-0.012***		-0.045***	
	(0.004)		(0.003)		(0.003)	
Mandatory − Voluntary		-0.012		-0.002		-0.021
Difference p-value		0.450		0.889		0.142
Observations	48,930	42,521	48,930	42,521	48,930	42,521
Firms	5,521	5,266	5,521	5,266	5,521	5,266
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		-0.052***		-0.010		-0.060***
		(0.015)		(0.013)		(0.013)
× Voluntary Rotation		-0.040***		-0.008**		-0.043***
		(0.005)		(0.003)		(0.004)
Pooled	-0.043***		-0.011***		-0.044***	
	(0.004)		(0.003)		(0.003)	
Mandatory − Voluntary		-0.011		-0.002		-0.017
Difference p-value		0.483		0.866		0.187
Observations	50,789	44,276	50,789	44,276	50,789	44,276
Firms	5,521	5,307	5,521	5,307	5,521	5,307
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.